

Sovereign Anchor Holding

Quarterly Dialogue

April 2026

A conversation on capital, society, and the study of value.

Hello everyone,

This is **Anmol Verma**, and today we are beginning something new.

Sovereign Anchor Holding was established on **January 1, 2026**. The purpose is simple: to create a **permanent record of thinking about capital, society, and value over time**.

This initiative is both personal and public.

Personally, it allows me to observe how my thinking evolves across decades. Publicly, it allows anyone following the journey to see the reasoning behind every decision.

The objective is not merely to invest money. The objective is to **understand how value moves through the world** and how capital can compound when aligned with that movement.

This dialogue will appear every quarter. It will contain opinions, questions, and reflections on what we are learning.

The annual report will contain the data.

The Core Idea

At Sovereign Anchor, we do not begin by thinking about money.

We begin by observing the world.

The world is a **flow of energy, effort, and utility**. People help each other through services and exchange. Money simply acts as a **token of that exchange**.

If a business consistently provides value to society, society eventually rewards it through profits.

In that sense:

Business is simply a service to society that makes financial sense.

A business is also a human system. It is a group of people led by someone making decisions under uncertainty.

Understanding business therefore requires understanding:

- psychology
- economics
- sociology
- politics
- human incentives

When these forces align correctly, businesses survive for long periods and compound capital.

The Purpose of This Dialogue

These quarterly dialogues serve three purposes.

1. Intellectual Record

They preserve the thinking behind investment decisions so that future readers can understand **why something was done**, not just **what was done**.

2. Learning in Public

Investing is an exercise in uncertainty. By separating **facts** from **opinions**, readers can make up their own minds.

I can be wrong. Others may see things more clearly.

The dialogue format encourages questioning rather than blind agreement.

3. Long-Term Accountability

Capital compounds slowly. Over time, the record will show whether the thinking was sound.

How We Look at the World

The investment process is intentionally simple.

Step 1 – Choose the Country

We prefer to operate within **growing economies**.

A rising country lifts many businesses along with it. A declining country forces even great companies to struggle.

We do not want to sit in a **sinking boat**.

At present we observe several economies including:

- India
- Indonesia
- Saudi Arabia
- Turkey

However, given the current size of our capital, we focus primarily on **India**.

Step 2 – Choose the Enterprise

Once the economic soil is selected, we search for strong enterprises.

We generally prefer businesses that demonstrate:

- expanding utility
- capital efficiency
- strong leadership
- long operating history

Management matters enormously.

A business model may look attractive on paper, but ultimately **people allocate capital and make decisions**.

Step 3 – Buy at Sensible Prices

Even a great business can become a poor investment if purchased at the wrong valuation.

We prefer buying businesses:

- at **fair value**
- or with a **margin of safety**

Debt is generally avoided unless it serves a clear economic purpose.

The Nature of Investing

Investing is largely a **process of rejection**.

Thousands of companies exist, but only a few meet the criteria required for long-term compounding.

We read continuously and filter aggressively.

Most ideas are rejected.

A few survive.

How We Measure Progress

We do not judge performance by a single decision.

Instead we observe the **distribution of outcomes**.

Think of every investment as a bar on a histogram:

- Green bars represent positive returns
- Red bars represent negative returns
- Thickness Represent the amount Invested.

The goal is simple:

- more green bars than red
- larger green bars than red

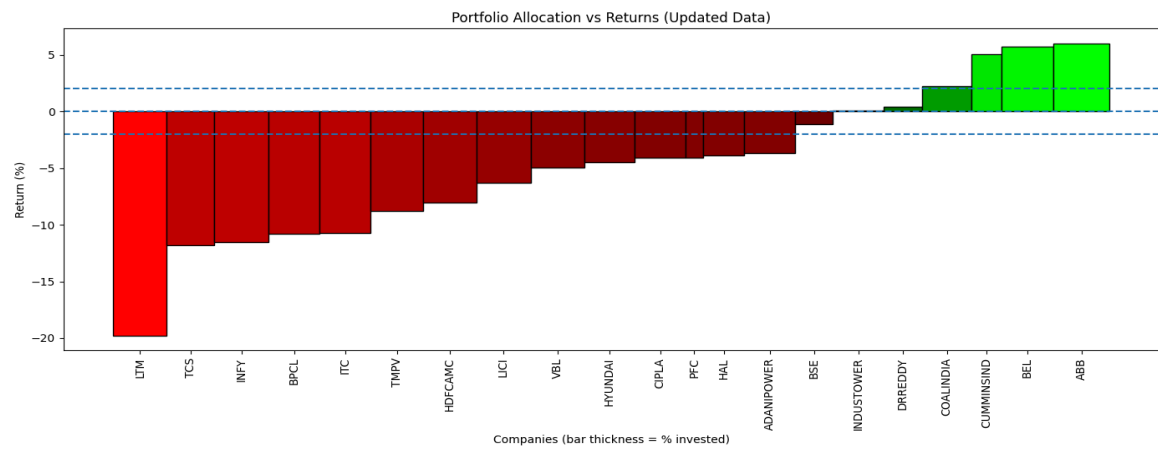
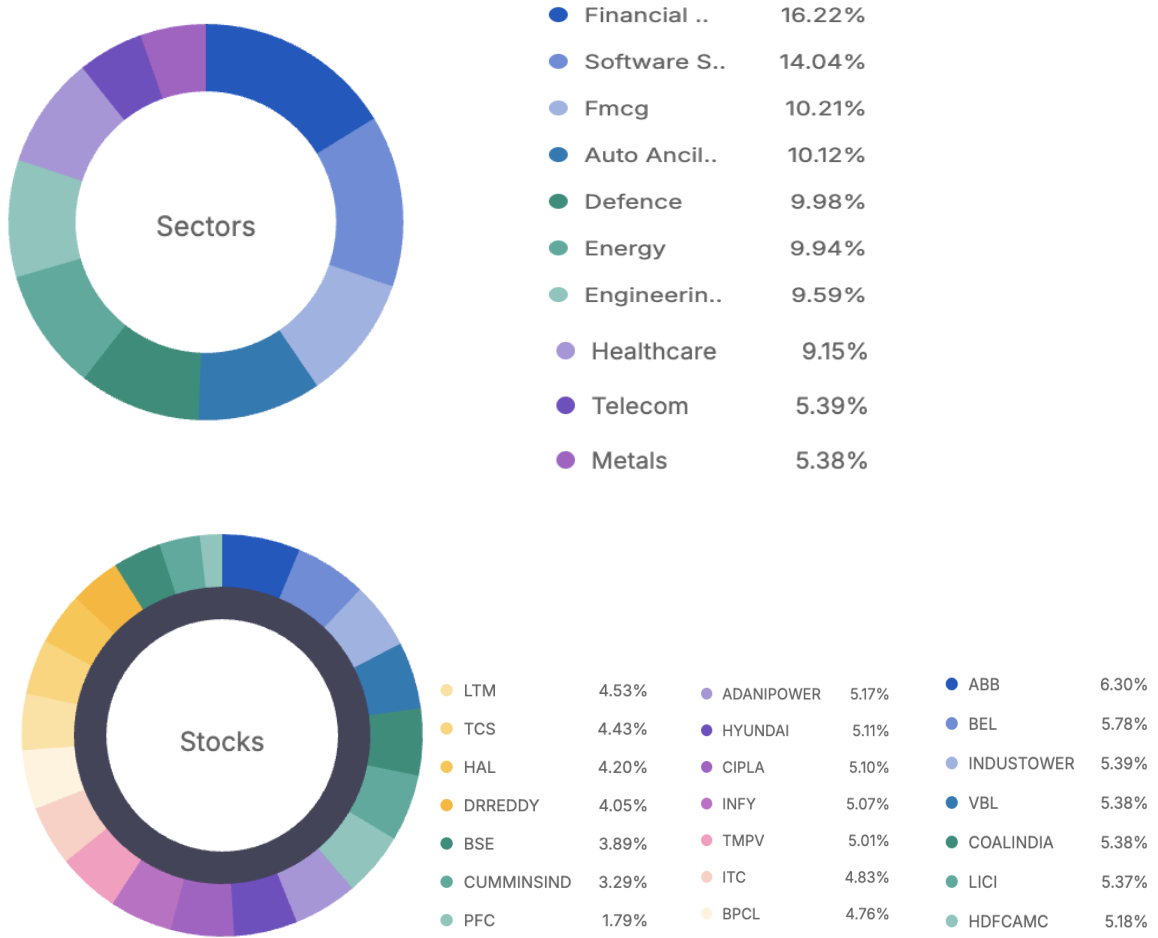
In statistical terms, we seek:

- **an above-average hit rate**
 - **above-average payoff when correct**
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Portfolio Snapshot

(As of 9 March 2026)

Sector Allocation



Structure of the Archive

The Sovereign Anchor archive will contain three types of documents.

Annual Data

Published every **31 March**. Primarily data-driven.

Approximately: **80-85% data & 15-20% interpretation**

Quarterly Dialogue

Published every **quarter**. Primarily reflective.

Approximately: **85% opinion & 15% data**

The Library

This is the reading section. Whenever a book significantly improves our understanding, we publish a **summary and reflections**. Readers can then explore the original book more deeply if interested.

Closing Thoughts

Investing is not a race. It is a long experiment in **learning, adaptation, and survival**. The goal is not simply to make money.

The goal is to **understand reality clearly enough** that capital naturally compounds over time. We will update the record again on **March 31st** with the first annual dataset.

Until then, we continue observing, reading, and learning.

Anmol Verma

Steward of Capital

Sovereign Anchor Holding

